

13 October 2016

Underwriters & Other Interested Insurers
587 San Felipe, Suite 32
Houston, Texas 77052

Attention: Mr. Aaron Watson *(Via Electronic Transmittal)*

Our Ref.:
Acme Resources, Inc.
D/L: 22 October 2015

FINAL REPORT

On this occasion, we are concerned with two fire incidents that occurred on 22 October 2015 at two separate facilities which are owned by the Assured, Acme Resources, Inc. of Midland, Texas. Both locations are in relatively close proximity to one another and both fires were the result of lightning strikes from the same storm system. Consequently, the two incidents are being considered one occurrence under the policy. The facilities involved are the RJ Horz FED #1 and the Booster FED #1, which are both salt water disposal facilities with associated storage tanks, and are located in Eddy County, New Mexico.

The Assured has completed repair operations at the RJ Horz FED #1 and the facility was placed back online during the first week of June 2016. They have chosen not to repair the Booster FED #1 for economic reasons but have submitted costs for debris removal and pollution remediation at this location. This report therefore will provide details of the overall claim amount of US \$ 2,156,592.91 for both locations as well as our audit results and recommendations for final settlement, subject to liability.

GENERAL BACKGROUND:

The two tank battery locations are more specifically identified by the following coordinates in Eddy County, New Mexico:

RJ Horz FED #1	Latitude N.32.0632515 – W.103.9792099
Booster FED #1	Latitude N.32.0646286 – W.103.4526600

When mapped, these coordinates are found to be located 30.9 miles apart.

Both facilities served as salt water disposal stations. The physical attributes and equipment at the locations were nearly identical with each tank battery having a 1,000 bbl. capacity for oil storage and 1,400 bbl. capacity for water storage and are considered a new design with transfer pumps for load and unload capabilities. The facilities are both owned and operated on a 100% basis by Acme Resources and were first placed in service in mid-2013.

LOSS CIRCUMSTANCES:

As previously reported, the loss on this occasion involves damages caused by two separate lightning strikes which were both reported to the Assured at approximately 23:40 hours on 21 October 2015. Incident reports prepared by the Assured for each fire indicate the same date and time of notification. Acme operations personnel were dispatched to both sites to investigate while Volunteer Fire Departments from the towns of Otis, Happy Valley, Malaga, and Loving responded to the incidents and extinguished both fires by 02:15 hours on 22 October 2015, approximately 4.5 hours after the fires commenced. We have managed to confirm with independent weather sources that storm activity occurred in Eddy County, New Mexico in the vicinity of the tank batteries around the time that the fires were reported. The damages caused by the lightning and ensuing fires was extensive as noted in the photos included within our First Report dated 11 March 2016.

POLICY:

The package policy provided for our review is identified as Policy Number B123456/16 issued by EXL Insurance Company and denoting Acme Resources, Inc. as the named Assured. The policy period is noted to be from 2 May 2015 to 2 May 2016, and the date of the incident would therefore fall within the effective policy period.

The policy is comprised of two sections providing elements of coverage for Cost of Control, Redrilling, Extra Expense, and Pollution and Clean-up within Section 1, and for the Physical Damage to Oil Lease Property within Section 2. Section 2 carries an overall limit of US \$ 54,816,147 for New Mexico properties with agreed values per schedules provided at inception. We have received a policy property schedule from the broker which reflects separate declared insured values of US \$ 650,000 each for the RJ Horz FED #1 and the Booster FED #1 tank batteries at the time of loss.

Endorsement No. 8 to Section 2 pertains to Extra Expense incurred by the Insured to continue normal operations for up to 24 months but not to exceed US \$ 1,000,000 (100%) any one occurrence. Endorsement No. 10 to Section 2 pertains to pollution clean-up, removal and disposal with a sub-limit of US \$ 150,000 (100%) any one occurrence and in the annual aggregate. The Section 2 deductible is noted to be US \$ 25,000 (100%) any one occurrence, but is not applicable to claims for actual or constructive total loss of a scheduled item.

The specific clauses of the policy that we believe are germane on this occasion were quoted in our First Report for Underwriters' reference.

We believe that the Assured was in compliance with the due diligence and warranty clauses of the policy and we are satisfied that the insured interest for each of the affected properties was 100% at the time of loss.

CLAIM AND ADJUSTMENT / RECOMMENDED NET SETTLEMENT AMOUNT:

RJ Horz FED #1 Tank Battery

Following the fire incident, activities were undertaken to perform clean-up of the site and to remove debris from the tank battery location. Most of the removal efforts were associated with dismantling the charred piping and instrumentation and remnants of the tanks destroyed by the fire. However, some expenses were also incurred for clean-up of the location utilizing vacuum trucks and dispersants associated with oil, saltwater and condensate released from the tanks. The oil and saltwater released from the tanks was contained within the berm area surrounding the tank battery and was hauled away utilizing vacuum trucks. Additional remediation activities to clean the contaminated soil commenced after the burned debris was removed from the site. The Assured has submitted costs totaling US \$ 73,149.17 for debris removal activities and US \$ 54,647.40 for pollution remediation operations, with no adjustments found necessary to these costs.

Construction of the replacement tank battery commenced in early March 2016 with the installation of the new tank pad sites. Replacement tanks were delivered and set on the pads during the second week of March 2016. During the next 3 months, all piping and electrical work was performed to rebuild the facility to essentially the same specifications which existed before the fire. The only difference between the old tank battery facility and the new replacement is the inclusion of a new “tank logic” system which is a new and improved grounding system to guard against damages due to lightning strikes similar to the incident which occurred on 21 October 2015. We have identified this improvement during our audit of the claimed costs and have disallowed the amount in excess of the cost to replace the lightning protection system which originally existed at the location.

The amount submitted by the Assured for rebuilding the facility totals US \$ 898,081, from which we deducted US \$ 9,011.25 for the upgraded lightning protection system. We also deducted US \$ 489.58 for costs which were incurred prior to the date of the fire, for total adjustments of US \$ 9,500.83. A net physical damage amount of US \$ 888,580.17 results as follows:

Gross PD Claim Submitted	US \$ 898,081.00
Less Adjustments	(US \$ 9,500.83)
Net Adjusted PD Claim	US \$ 888,580.17

Since the RJ Horz FED #1 facility is scheduled for only US \$ 650,000, the excess amounts are then deducted to only allow this scheduled amount, as illustrated below:

Net Adjusted PD Claim	US \$ 888,580.17
Less Excess Amount over Limit	(US \$ 238,580.17)
Net Allowed PD Claim	US \$ 650,000.00

Finally, the Assured has incurred some extra expenses related to this loss due to the extra costs of trucking saltwater for disposal to another site during the first week following the fire. After this time, alternative measures were taken to meet their obligations to their customers. The Assured has submitted data showing that their cost to dispose of the saltwater flowing to the JR Horz facility during the first 7 days was US \$2.58/barrel.

Endorsement No. 8 of Policy Section 2 details the provisions of any Extra Expense claim and states that such a claim will be *in excess of the total cost of conducting the Insured's business during the period of restoration over the total cost of conducting such business that would have been incurred had no loss occurred...*

Consequently, we have determined that the Assured's cost during normal operations is US \$.65/barrel, which when deducted from their actual cost of US \$ 2.58/barrel results in a net increased cost of US \$ 1.93/barrel during the first 7 days following the fire.

We have reviewed production records for the 30 days prior to the fire which indicate the Assured was injecting an average of 868 barrels/day at this facility. Consequently, the Assured's net Extra Expense claim totals US \$ 11,726.68 as follows:

Average Daily Injection		868 barrels/day
Increased Cost per Barrel	X	<u>US \$1.93</u>
Average Daily Cost Increase		US \$ 1,675.24
Duration	X	<u>7 days</u>
Net Extra Expense Claim		US \$ 11,726.68

To summarize, the combined net claim for the RJ Horz FED #1 facility as detailed in the paragraphs above totals US \$ 789,523.85 as follows:

Net Physical Damage to Facility (Limited to insured value)	US \$ 650,000.00
Net Removal of Debris	US \$ 73,149.17
Net Pollution Remediation	US \$ 54,647.40
Net Extra Expense	<u>US \$ 11,726.68</u>
Net RJ Horz FED #1 Claim	US \$ 789,523.25

Booster FED #1 Tank Battery

Like the RJ Horz FED #1 location, following the incident, activities were undertaken to remove debris from the tank battery location and to perform clean-up of the site in the same manner. Oil, saltwater and condensate were also released from the tanks at this location and vacuum trucks were used to remove as much of the liquid as possible from the ground surface. The contaminated soil was then removed and transported to a disposal facility, and the location re-filled with fresh material. The Assured has submitted costs totaling US \$ 57,623.89 for debris removal activities and US \$ 163,283.77 for pollution remediation operations, with no adjustments found necessary to the expenses claimed. It is noted however that the policy limits pollution clean-up expenses to US \$ 150,000 (100%) each occurrence (and in the aggregate), with US \$ 54,647.40 already allocated to the JR Horz claim. Consequently, we have disallowed the amounts in excess of this sub-limit as follows:

Gross Pollution Remediation Claim	US \$ 163,283.77
Less Amount over Limit	<u>(US \$ 13,283.77)</u>
Pollution Remediation Limit	US \$ 150,000.00
Less Amount Allocated to JR Horz	<u>(US \$ 54,647.40)</u>
Net Pollution Remediation Allowed	US \$ 95,352.60

The Assured has elected to not rebuild the Booster FED #1 facility for economic reasons and is requesting a physical damage settlement based on unrepaired damages. They have provided an AFE estimate for replacement of the tank battery of US \$ 2,000,000. The facility was nearly identical to the RJ Horz FED #1 facility which was rebuilt earlier this year at a cost of US \$ 888,580. With both of these figures in excess of the declared insured value of US \$ 650,000, we believe an unrepaired damage settlement of US \$ 650,000 is fair and appropriate.

To summarize, the combined net claim for the Booster FED #1 facility as detailed in the paragraphs above totals US \$ 802,976.49 as follows:

Net Physical Damage to Facility (Unrepaired Damage at insured value)	US \$ 650,000.00
Net Removal of Debris	US \$ 57,623.89
Net Pollution Remediation	<u>US \$ 95,352.60</u>
Net Booster FED #1 Claim	US \$ 802,976.49

Once the net claim amounts for both locations are combined, an overall net settlement consideration of US \$ 1,592,499.74 results as follows:

RJ Horz FED #1 Net Adjusted Claim	US \$ 789,523.25
Booster FED #1 Net Adjusted Claim	<u>US \$ 802,976.49</u>
Combined Net Adjusted Claim	US \$ 1,592,499.74
Less: Policy Deductible (Not Applicable to CTL)	<u>(US \$ NIL)</u>
Net Combined Claim for Full and Final Settlement Consideration	US \$ 1,592,499.74

We have confirmed that net totals for each category of claim are within the specified limits and sub-limits as specified by policy wording, and we have cited evidence that all third party charges within the claim have been paid by the Assured to the vendors. Also, these figures are offered entirely without prejudice to liability.

The Assured has been presented with our claim spreadsheet detailing the calculations as presented above, and has agreed with the net combined amounts. Furthermore, they have requested that we present these figures to Underwriters for full and final settlement consideration at this time.

Should Underwriters agree to the claim calculations presented herein, we are prepared to obtain the Proof of Loss and Payment Order documents necessary to conclude this matter. We will, however, await specific instructions in this regard before proceeding.

RECOVERY:

Based on our review of the facts and circumstances surrounding this loss, we do not believe any basis exists for the pursuit of subrogation on this occasion.

Faithfully submitted,

SENTER ASSOCIATES, LLC